

DATA ANALYSIS PRESENTATION

Superstore Sales & Profitability Analysis

A comprehensive analytical breakdown of sales performance, revenue channels, profit leakage, regional growth drivers, and strategic recommendations derived from transaction records.

Dataset Scope
9,994 Orders (2014–2017)

Focus
Profit Margin & Growth

~By Ankita Sarkar

Executive Summary.

The Superstore generated **\$2.30 Million in total sales** with a net profit of **\$286,397** across 5,009 orders, achieving an overall profit margin of **12.47%**.

\$2.30M

TOTAL REVENUE
+20.4% YoY Growth

\$286.4K

NET PROFIT
12.47% Overall Margin

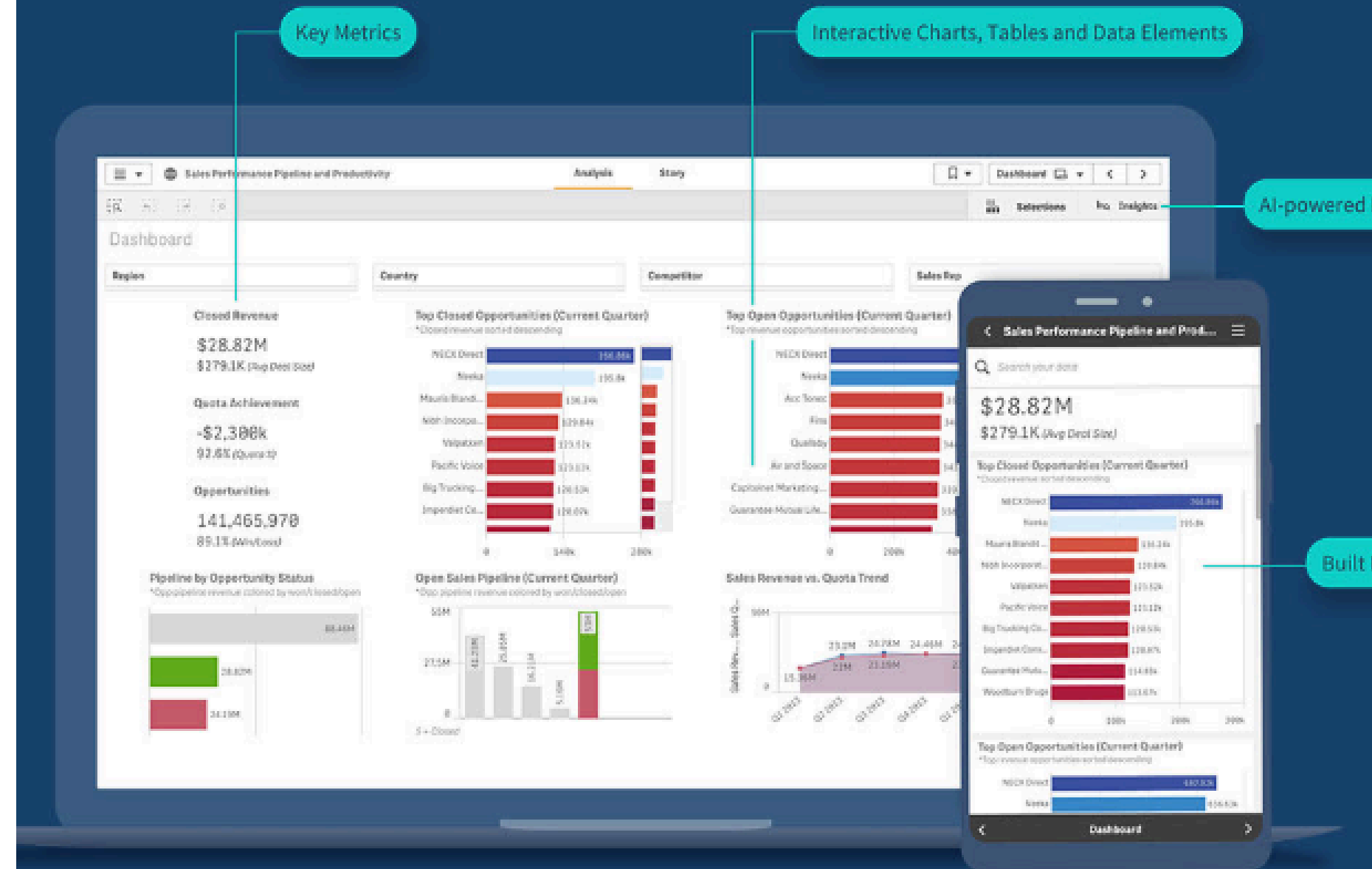
5,009

TOTAL ORDERS
37,873 Units Sold

\$458.61

AVG ORDER VALUE
15.6% Avg Discount

Key Takeaway: Strong revenue growth is partially undermined by high discounting in select sub-categories, resulting in localized profit erosion.

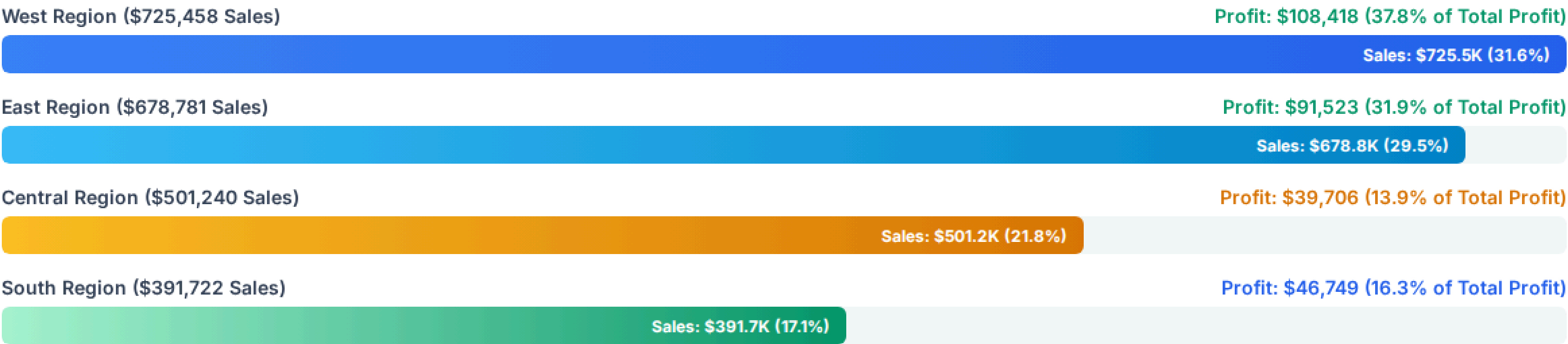


Category Revenue & Profit



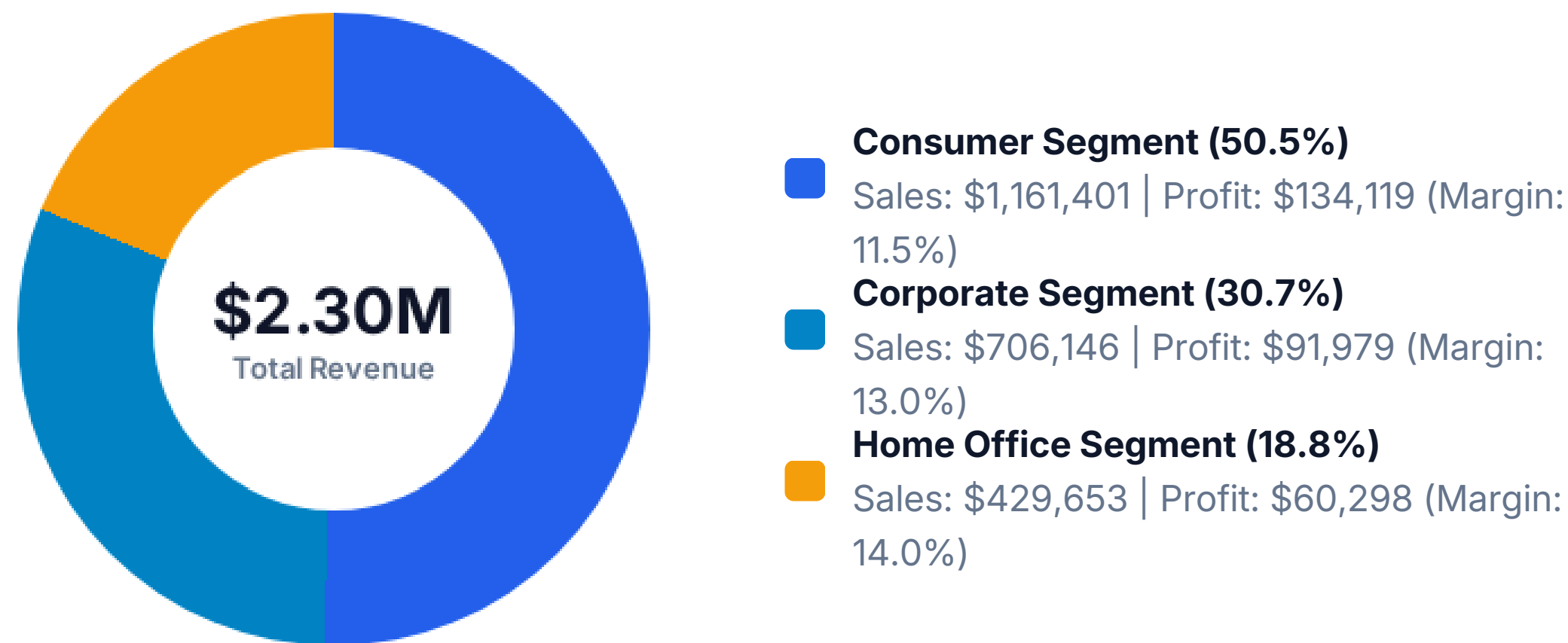
Insight: Technology generates the highest profit margin (17.4%), whereas Furniture generates similar revenue (\$742K) but only \$18.5K in total profit due to severe discounting and high logistics cost.

Regional Sales & Profitability



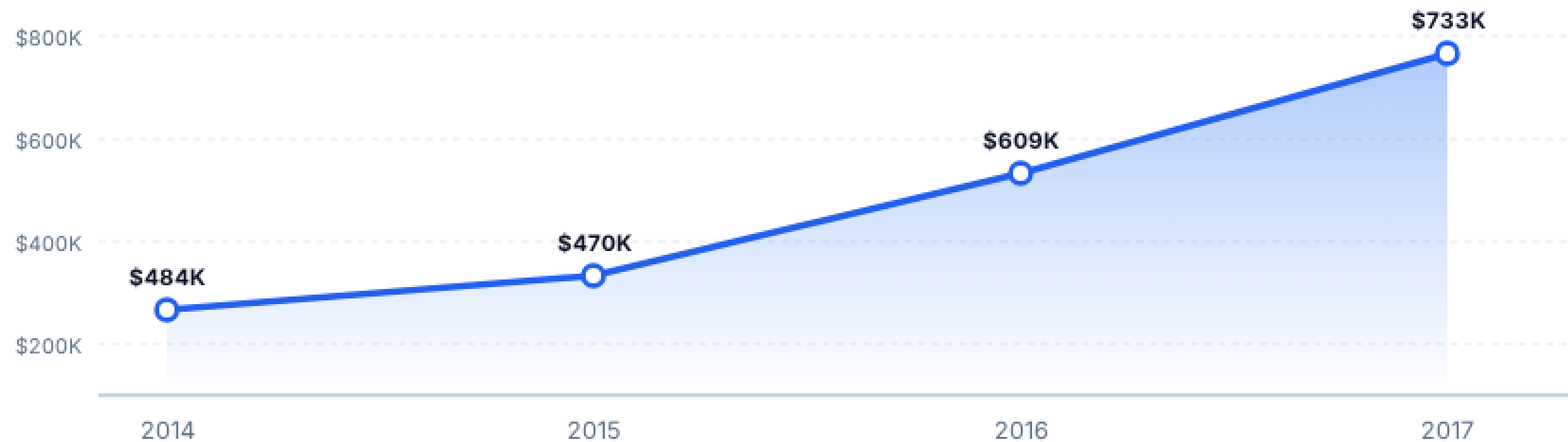
Regional Context: The West and East regions drive nearly 70% of total profit. Central region suffers low profitability due to aggressive promotional discounts in Texas and Illinois.

Customer Segment Breakdown



 **Segment Strategy:** While Consumers bring the largest revenue volume, Home Office and Corporate buyers yield higher profit margins due to larger basket sizes and lower discount dependency.

Sales & Profit Trends (2014-2017)



📈 **Growth Pattern:** Annual sales accelerated rapidly from 2015 to 2017 (+55.9% total 3-year growth). Strong seasonal peaks occur consistently in Q4 (specifically November & December) due to holiday demand.

Sub-Category Profitability Matrix

Sub-Category	Category	Total Sales	Total Profit	Profit Margin	Status / Impact
Copiers	Technology	\$149,528	+\$55,618	37.2%	Top Performer
Phones	Technology	\$330,007	+\$44,515	13.5%	High Revenue
Paper	Office Supplies	\$78,479	+\$34,053	43.4%	High Margin
Bookcases	Furniture	\$114,880	-\$3,473	-3.0%	Loss Maker
Supplies	Office Supplies	\$46,673	-\$1,189	-2.5%	Loss Maker
Tables	Furniture	\$206,966	-\$17,725	-8.6%	Severe Leakage

Critical Finding: Tables, Bookcases, and Supplies actively destroy \$22,387 in bottom-line profit due to discounts exceeding 20% and elevated freight expenses.

Key Analytical Insights



Discount Threshold

Discounts above 20% consistently lead to negative profit margins. Average discounts in the Central region (up to 80% on select lines) are eroding net profit margins completely.



Category Variance

Technology generates the vast majority of profit (\$145.5K) on modest volume, whereas Furniture revenue is heavily eroded by freight and assembly discounts.



Q4 Seasonality

Over 35% of annual sales occur between October and December. Inventory shortages in Q3 often lead to missed high-margin opportunities during peak season.

Strategic Recommendations



1. Revamp Discount Rules

Cap promotional discounts at 15% for Furniture and Tables. Require manager approvals for discounts over 20% to prevent immediate profit loss.



2. Double Down on Tech

Expand inventory and marketing spend for Copiers, Phones, and Accessories in the West and East regions to maximize high-margin returns.



3. Shipping Optimization

Renegotiate carrier contracts for bulky items (Tables, Bookcases) and incentivize Corporate customers toward Standard Class freight bundling.

Questions & Discussion

Thank You!

Superstore Data Analytics Team

~By Ankita Sarkar